

ments the manufacturing thrust and can lead to a multi-year growth cycle by driving both investments and consumption.

Significant private sector investments are underway in both traditional and non-traditional areas. For example, electronic manufacturing output has grown from \$37 billion in FY16 to \$105 billion in FY23. In FY15, 210 million mobile phones were imported, while only 3 million units were imported in FY24, and close to 50 million handsets were exported. Similarly, the traditional toy industry saw imports decreasing by 52% and exports increasing by 239% between FY15 and FY23. Investments are

par with the global best.

Besides bridging the technology gap, a successful energy transition is imperative for resilient and sustainable growth. Successful execution will ensure the availability of competitively priced and higher energy production, more sustainable pathways, and energy independence through reduced dependence on fossil fuel imports. The policy focus on solar power, green hydrogen, biofuels, and nuclear energy ensures that all targets set by the government will be met.

Similarly, a transition to electric vehicles (EVs) can ensure that India is more resilient and there is technological parity with the world, which was not the case with internal com-

ing can be accelerated by addressing “ease of doing business” issues and the inverted duty structure in many sectors, making factors of production like land and labour more competitive. It is estimated that India has a staggering 1,536 laws, 69,233 compliances, and 6,618 filings that a business must navigate. In contrast, countries with a federal structure such as the US and Canada have less than half our compliance requirements.

Factors of production like land and labour are state government subjects. Many next-generation reforms are needed at the level of states. Strengthening local governments to facilitate more effective urbanisation models along with power sector reforms and better quality of school education are other examples of important areas that state governments need to look at. The Union government and the states should work together to implement these reforms.

Lastly, the advent of AI represents both an economic opportunity and a potential threat to current ways of working. It is widely accepted that it will create new jobs and drive efficiency while making some of the existing jobs redundant. Like all technologies, its impact will vary between businesses, communities, and countries. AI, as a technology, is evolving rapidly and it needs the close attention of policymakers.

India is at an inflexion point. The current momentum along with structural changes such as bridging the technological gap, the role of local capital, energy transition, and better infrastructure bode well for our growth prospects. By nourishing the current strengths and recognising and effectively addressing the challenges, India could be at the cusp of sustained long-term growth to a “Viksit Bharat” by 2047. **BT**

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Views are personal**

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also underway for the manufacture of semiconductors and drones, giving confidence that the technology gap between India and the West will be a thing of the past.

Among other growth drivers, service exports continue to do well. At \$341 billion in FY24, it accounted for 9% of the GDP. Global capability centres (GCCs), currently estimated to be around 1,600, drive growth and ensure that India has access to high-quality technical power on a

bustion engines. Early signs of our energy transition journey so far are encouraging—with over 140 GW we have the fourth largest renewable energy generation capacity globally, and 0.95 million two-wheeler EVs were sold in FY24. The policy framework has been more focussed on the supply side (solar panels, EVs, and batteries) so far. Some more financial and policy support on the demand side can lead to faster adoption.

Private capex in manufactur-